

Revamping the tax regime

Nirmala Sitharaman introduces the Income Tax Bill 2025 in Parliament, aiming to replace the 1961 Act with a more taxpayer-friendly framework

Finance Minister Nirmala Sitharaman introduced the Income Tax Bill 2025 in Parliament on Thursday. This new bill aims to replace the Income Tax Act, 1961, which has become **cumbersome** due to **numerous** amendments over the last six **decades**. The bill focuses on simplification, clarity and ease of **compliance** for taxpayers while retaining the fundamental structure of the tax system. The bill consists of 536 sections, 23 chapters and 16 schedules within 622 pages, making it significantly more concise than the 880-page 1961 Act. **One** of the major changes **is** the replacement of the term 'previous year' and 'assessment year' with 'tax year,' **eliminating** confusion regarding tax filing timelines. To further **enhance** clarity, **ambiguous** terms such as '**notwithstanding**' have been replaced with 'irrespective.' The new bill also introduces tables and formulae for key calculations, such as TDS, **presumptive taxation**, salary taxation and deductions for **bad debts**. Complex explanations and **provisos** have been **omitted**, making the law more **comprehensible** and user-friendly.

A formal Taxpayer's **Charter** has been included, **outlining** rights and responsibilities to promote **transparency** and fairness in tax administration. All TDS-related **provisions** have been **consolidated** under a single clause using simple tabular formats, reducing **complexity** and improving compliance. Additionally, the bill integrates key court **rulings** from the last 60 years, providing more legal **certainty** and reducing disputes. The tax **treatment** for **employee stock options** **has** been refined, offering a more **transparent** taxation structure to ensure fair and **predictable** tax treatment for employees receiving stock options. To make tax **exemptions** clearer, income that does not form part of total income has now been moved to dedicated schedules instead of being **scattered throughout** the Act. These changes are expected to bring multiple benefits, such as simpler compliance, a clear taxation structure, reduced **litigation**, an easier TDS framework and greater **predictability** for employees with stock options. Despite these advantages, the bill faces certain challenges. Taxpayers and businesses will need time to **adapt** to the new **terminologies** and provisions. The **removal** of 'previous year' and 'assessment year' **may** cause temporary confusion during the **transition**. Additionally, the **introduction** of tables and **streamlined** TDS clauses **will** require updates in income tax return (ITR) forms, software utilities and reporting systems. The Income Tax Bill 2025 marks a significant step toward a more transparent, efficient and taxpayer-friendly system. While it does not introduce new taxes, its simplification of language, removal of **redundancies**, and integration of judicial **precedents** will reduce compliance costs and tax disputes. If successfully implemented, this bill could enhance tax administration efficiency and encourage better **voluntary** compliance among taxpayers. After **deliberation** by the Parliamentary Standing Committee on Finance, it is expected to **come into effect** from April 1, 2026. How it will actually work will only be clear then. **[Practice Exercise]**

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

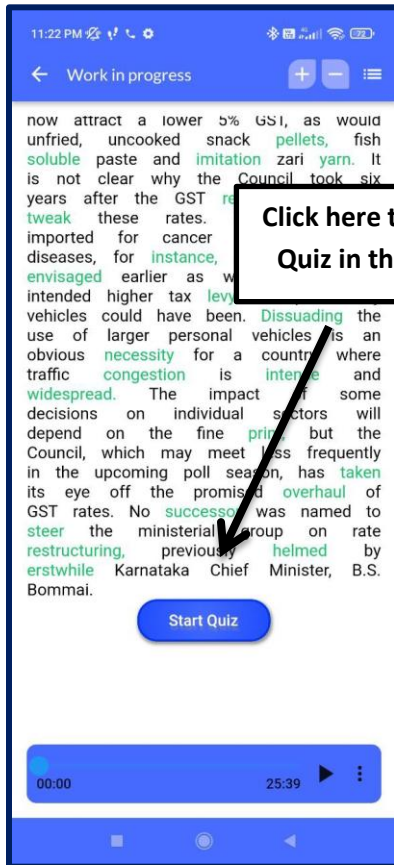
1. **Revamp** (verb) – Renovate, overhaul, modernize, restructure, reorganize
नवीनीकरण करना
2. **Regime** (noun) – System, administration, rule, governance, establishment प्रणाली
3. **Cumbersome** (adjective) – Burdensome, unwieldy, clumsy, heavy, troublesome भारी
4. **Numerous** (adjective) – Many, countless, several, multiple, innumerable अनेक
5. **Amendment** (noun) – Modification, revision, change, alteration, adjustment संशोधन
6. **Decade** (noun) – period of ten years दशक
7. **Compliance** (noun) – Conformity, adherence, obedience, submission, observance अनुपालन
8. **Eliminate** (verb) – Remove, eradicate, abolish, exclude, expunge हटाना
9. **Enhance** (verb) – Improve, boost, strengthen, augment, elevate सुधारना
10. **Ambiguous** (adjective) – Unclear, vague, indistinct, obscure, equivocal अस्पष्ट
11. **Notwithstanding** (preposition) – Despite, nevertheless, however, although, in spite of के बावजूद
12. **Presumptive Taxation** (noun) – Estimated taxation, simplified taxation, flat-rate taxation, assumed taxation, predefined taxation अनुमानित कराधान
13. **Bad Debt** (noun) – Uncollectible debt, defaulted debt, irrecoverable debt, non-performing asset, written-off debt
14. **Proviso** (noun) – Condition, stipulation, clause, requirement, qualification शर्त
15. **Omit** (verb) – Exclude, skip, neglect, overlook, leave out छोड़ना
16. **Comprehensible** (adjective) – Understandable, clear, intelligible, lucid, coherent समझने योग्य
17. **Charter** (noun) – Document, agreement, constitution, manifesto, license दस्तावेज़
18. **Outline** (verb) – Sketch, summarize, draft, delineate, plan रूपरेखा बनाना
19. **Transparency** (noun) – Clarity, openness, honesty, lucidity, visibility पारदर्शिता
20. **Provision** (noun) – Clause, stipulation, arrangement, supply, preparation प्रावधान
21. **Consolidate** (verb) – Combine, merge, unify, strengthen, solidify मिलाना
22. **Complexity** (noun) – Complication, intricacy, difficulty, sophistication, involvement जटिलता

23. **Ruling** (noun) – Decision, judgment, verdict, decree, order निर्णय
24. **Certainty** (noun) – Assurance, confidence, sureness, conviction, guarantee निश्चितता
25. **Employee stock option** (noun) – Stock grant, share option, equity incentive, stock incentive, share grant
26. **Transparent** (adjective) – Clear, see-through, lucid, open, honest पारदर्शी
27. **Predictable** (adjective) – Foreseeable, expected, anticipated, reliable, certain पूर्वानुमेय
28. **Exemption** (noun) – Exception, immunity, exclusion, relief, waiver छूट
29. **Scatter** (verb) – Disperse, spread, distribute, strew, dissipate बिखेरना
30. **Throughout** (preposition) – Across, all over, during, from start to finish, everywhere पूरे में
31. **Litigation** (noun) – Lawsuit, legal dispute, court case, judicial proceeding, legal action मुकदमा
32. **Predictability** (noun) – Certainty, reliability, consistency, foreseeability, stability पूर्वानुमेयता
33. **Adapt** (verb) – Adjust, modify, alter, acclimate, conform अनुकूलित करना
34. **Terminology** (noun) – Jargon, vocabulary, language, nomenclature, phraseology शब्दावली
35. **Transition** (noun) – Change, shift, conversion, transformation, passage संक्रमण
36. **Streamline** (verb) – Simplify, optimize, rationalize, smooth, refine सरल बनाना
37. **Redundancy** (noun) – Repetition, excess, surplus, duplication, superfluity अतिरिक्तता
38. **Precedent** (noun) – Example, model, standard, benchmark, guideline उदाहरण
39. **Voluntary** (adjective) – Optional, willing, deliberate, spontaneous, unforced स्वैच्छिक
40. **Deliberation** (noun) – Consideration, discussion, thought, reflection, debate विचार
41. **Come into effect** (phrase) – Implement, enforce, activate, commence, begin लागू होना

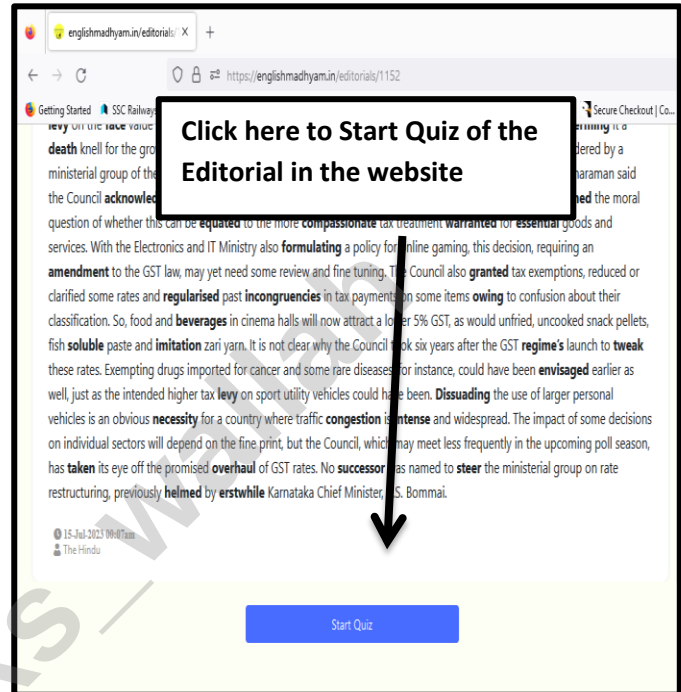
Summary of the Editorial

1. **Income Tax Bill 2025:** Finance Minister Nirmala Sitharaman introduced the bill to replace the outdated Income Tax Act, 1961, aiming for a simpler and more taxpayer-friendly framework.
2. **Simplification:** The bill focuses on simplifying the tax regime, reducing complexity, and improving clarity for taxpayers.
3. **Concise Structure:** With 536 sections, 23 chapters, and 16 schedules across 622 pages, the bill is more concise than the 880-page 1961 Act.
4. **Key Terminology Changes:** The terms 'previous year' and 'assessment year' are replaced with 'tax year' to eliminate confusion in tax filing timelines.
5. **Clearer Language:** Ambiguous terms like 'notwithstanding' have been replaced with simpler alternatives like 'irrespective.'
6. **Tables and Formulae:** The bill introduces tables and formulae for key calculations, such as TDS, presumptive taxation, salary taxation, and bad debt deductions.
7. **Taxpayer's Charter:** A formal charter outlining taxpayer rights and responsibilities has been included to promote transparency and fairness.
8. **Consolidated TDS Provisions:** All TDS-related provisions are consolidated under a single clause using tabular formats to reduce complexity.
9. **Integration of Court Rulings:** Key judicial rulings from the past 60 years have been integrated to provide legal certainty and reduce disputes.
10. **Employee Stock Options:** The tax treatment for employee stock options has been refined to ensure fair and predictable taxation.
11. **Clearer Exemptions:** Income exempt from taxation is now listed in dedicated schedules instead of being scattered throughout the Act.
12. **Expected Benefits:** The bill aims to simplify compliance, reduce litigation, and provide a clearer taxation structure.
13. **Challenges:** Taxpayers and businesses may face initial confusion due to new terminologies and provisions, requiring updates to ITR forms and software.
14. **No New Taxes:** The bill does not introduce new taxes but focuses on simplifying existing laws and reducing compliance costs.
15. **Implementation Timeline:** After review by the Parliamentary Standing Committee on Finance, the bill is expected to take effect from April 1, 2026.

Practice Exercise: Banking Pattern Based



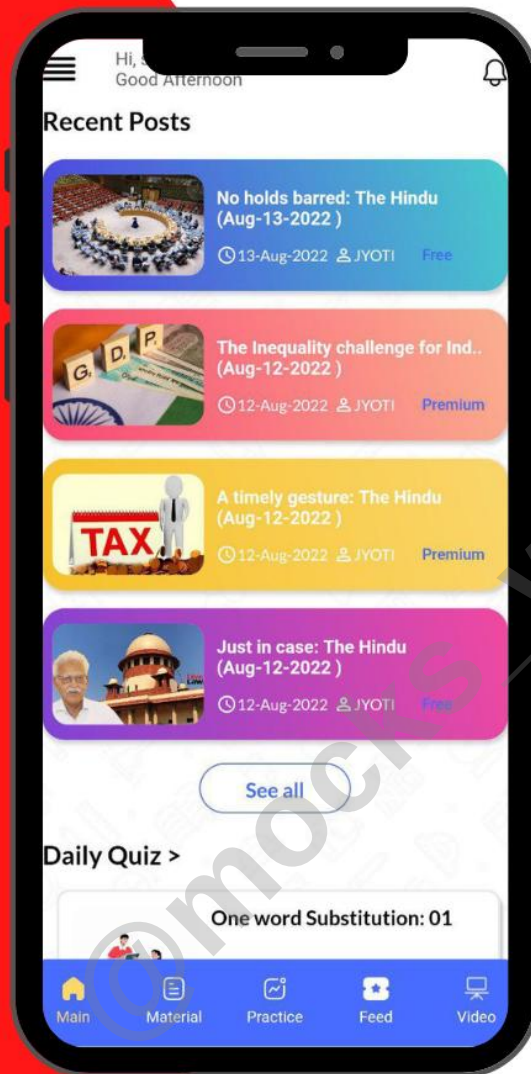
Click here to Start Quiz in the App



Click here to Start Quiz of the Editorial in the website

[Click here to download App](#)

[Click here to visit website](#)



Learn Vocabulary Through Reading Articles

English Madhyam